He should also verify the accuracy of the interest calculation. Vouching of interest received on securities should be vouched from the securities or from the Investment ledger as to the date of the receipt of interest, amount, rate of interest etc. Interest received for any particular fund like Provident Fund should be credited to that fund and not to the revenue account. Further, the auditor should obtain confirmations from the parties owing interest payment and should check with the entries in the interest received account and cash book.

Documents to be Vouched: Loan agreement or Fixed deposit receipts, Counterfoil of cash receipts, Bank pass book.

Vouching of dividends should be done by referring the relevant dividend warrants, shares, and securities. The auditor should ensure that the client has indeed received and properly recorded all dividends that are due to it. When dividend is collected through bank, amount received should be verified with the bank pass book. He should check the rate of dividends, amount of gross and net dividends and the tax deducted at source. He should also check the actual receipts either from the cash book or bank pass book.

Documents to be Vouched: Dividend warrants, Counterfoils of cash receipts and Passbook.

6.5.5 Sale Of Investments

Sale of investments should give rise to capital receipt except in the case of broking or investment firms for whom the proceeds will be revenue receipts. The amount received on account of the sale of investments should be vouched with broker's sold note. When investments are sold through bank, then bank advice should be verified. At frequent intervals, the auditor should compare the securities on hand with the amount realised on sale of securities with investment accounts.

Documents to be Vouched: Bank advice and Broker's Sold note.

6.5.6 Sale of Fixed Assets

The auditor should examine the minutes book of directors to ensure that the sale of fixed assets is properly approved by the Board of Directors in the meeting. He should verify the sale agreement and correspondences and ascertain the sale value of fixed assets. He should check the entry in the cash book for sale consideration received and cross check the entry in the bank statement to confirm that the amount received is deposited in bank. When investments are sold through broker, auditor should vouch Brokers sold Note and auctioneers statement should be verified when sold in an auction. He should verify the calculation of profit or loss on sale of fixed assets and that the amount is treated as capital profit and is transferred to capital reserve.

Documents to be Vouched: Sale Deed or Agreement, Minutes book of directors, Fixed Assets Register, Bank statement, Auctioneer's sold note or Broker's sold note and correspondences.

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